

CARBACID INVESTMENTS LIMITED

UNAUDITED CONSOLIDATED RESULTS FOR THE SIX MONTHS ENDED 31ST JANUARY 2013

Income Statement

	6 months to 31 January 2013 Shs '000	6 months to 31 January 2012 Shs '000
Turnover	<u>546,713</u>	<u>473,658</u>
Operating profit	282,304	260,597
Finance Income – Net	47,968	23,579
Foreign Exchange Differences	897	(9,565)
Revaluation of equity investments	<u>27,295</u>	<u>(17,379)</u>
Profit before taxation	358,464	257,232
Taxation charge	<u>(94,233)</u>	<u>(82,400)</u>
Net Profit After Tax	<u>264,231</u>	<u>174,832</u>
Earnings per share – Basic & Diluted	<u>Shs 7.78</u>	<u>Shs 5.15</u>

Statement of Financial Position

	As at 31 January 2013 Shs '000	As at 31 January 2012 Shs '000
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ASSETS		
Non Current Assets		
Property, plant and equipment	863,533	875,342
Investment property	60,000	60,000
Operating lease prepayment	68,617	67,311
Equity investments	134,252	73,773
Bonds and treasury bills	<u>218,750</u>	<u>250,000</u>
	<u>1,345,152</u>	<u>1,326,426</u>
Working Capital		
Current assets	871,752	536,491
Current liabilities	<u>(191,964)</u>	<u>(95,736)</u>
Net working capital	<u>679,788</u>	<u>440,753</u>
Total net assets	<u>2,024,940</u>	<u>1,767,179</u>
EQUITY AND LIABILITIES		
Share Capital and Reserves		
Share capital	169,901	169,901
Capital reserves	237,410	255,681
Revenue Reserves	1,143,518	939,843
Surplus for the period	<u>264,231</u>	<u>174,832</u>
	<u>1,815,060</u>	<u>1,540,257</u>
Non current liabilities		
Deferred income taxes	209,880	226,922
Total equity and liabilities	<u>2,024,940</u>	<u>1,767,179</u>

Cash Flow Statement for the six months ended 31st January 2013

	6 months to 31 January 2013 Shs '000	6 months to 31 January 2012 Shs '000
Balance at 31st July 2012	424,470	152,397
Net cash generated from operating activities	320,486	227,463
Net cash used in Investing activities	(10,298)	(2,421)
Net cash used in Financing activities	<u>(101,940)</u>	<u>(101,940)</u>
Balance at 31st January 2013	<u>632,718</u>	<u>275,499</u>

Statement of Changes in Equity for the six months ended 31st January 2013

	Share Capital Shs '000	Capital Reserves Shs '000	Revenue Reserves Shs '000	Total Shs '000
As at 31st July 2012	169,901	237,410	1,245,458	1,652,769
Net Profit for the period	-	-	264,231	264,231
Final Dividend Paid	-	-	(101,940)	(101,940)
As at 31st January 2013	<u>169,901</u>	<u>237,410</u>	<u>1,407,749</u>	<u>1,815,060</u>

Results for the six months ended 31st January 2013

Revenue for the six months ended 31st January 2013 was KShs 546 million, which is an increase of 15% over the same period last year. This increase in turnover was achieved by improved sales locally and penetrating export markets.

The effect of increase in direct costs, mainly of fuel, electricity and staff costs was felt during the 6 month period. However, strong management controls kept the effect on margins at a minimal level.

The operating profit increased by 8% to KShs 282 million. Finance income and gains on equity investments yielded KShs 76 million in the 6 months compared with a loss of KShs 3 million for the same period last year. Thus the overall group result is a profit before tax for the six month of KShs 358 million, representing an increase of 39% over same period last year. The net profit after tax for the six months, at KShs 264 million represents an increase of 51% and that increase has been driven primarily by finance income and equity gains.

Continued high costs of power and fuel will remain the major challenges in the rest of the year. The export markets are showing signs of slowing and this will to a certain extent impact on the revenues for the second half of the year.

Interim Dividend

The Directors of the Company have resolved to pay an interim dividend of KShs 3/- per share (2012- KShs 3/-) for the year ending 31st July 2013 on or about 7th May 2013 to shareholders on the register at the close of business on 10th April 2013.

Closure of Register

Notice is hereby given that the register of members will be closed from 11th April 2013 to 18th April 2013 for the purpose of preparation of a dividend list. Any correspondence or documents for registration should be received by 4.30 p.m., on 10th April 2013 and may be hand delivered or posted to the Registered Office at the following address:-

Axis Kenya, Empress Plaza, 1st Floor, Corner of Ring Road Parklands and Jalaram Road, Westlands, P O Box 764, Nairobi, Sarit Centre, 00606

By Order of the Board,

N P Kothari,
Secretary,
14th March 2013

CARBACID INVESTMENTS LIMITED

UNAUDITED CONSOLIDATED RESULTS

FOR THE SIX MONTHS ENDED

31ST JANUARY 2013

CARBACID INVESTMENTS LIMITED
CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME
FOR 6 MONTHS ENDED 31 JANUARY 2013

	6 Months to 31 January 2013 <u>Shs '000</u>	6 Months to 31 January 2012 <u>Shs '000</u>
TURNOVER	546,713	473,658
COST OF SALES	(206,092)	(165,222)
GROSS PROFIT	340,621	308,436
OTHER OPERATING INCOME	12,103	14,722
DISTRIBUTION COSTS	(16,105)	(16,500)
ADMINISTRATIVE EXPENSES	(54,315)	(46,060)
OPERATING PROFIT	282,304	260,597
FINANCE INCOME	47,968	23,579
FOREIGN EXCHANGE DIFFERENCES	897	(9,565)
ADJUSTMENT ON REVALUATION OF EQUITY INVESTMENTS	27,295	(17,379)
PROFIT BEFORE TAX	358,464	257,232
TAXATION	(94,233)	(82,400)
PROFIT AFTER TAX	<u>264,231</u>	<u>174,832</u>
PROPOSED DIVIDEND PER SHARE	<u>3.00</u>	<u>3.00</u>
EARNINGS PER SHARE	<u>7.78</u>	<u>5.15</u>
No.of Shares in issue	<u>33,980,265</u>	<u>33,980,265</u>

CARBACID INVESTMENTS LIMITED
UNAUDITED CONSOLIDATED BALANCE SHEET
FOR SIX MONTHS ENDED 31ST JANUARY 2013

	31st January 2013 (Unaudited) <u>Shs '000</u>	31st January 2012 (Unaudited) <u>Shs '000</u>
ASSETS		
Non Current Assets		
Property, Plant & Equipment	863,533	875,342
Investment Property	60,000	60,000
Operating Lease Prepayment	68,617	67,311
Equity Investments	134,252	73,773
Bonds & Treasury Bills	218,750	250,000
	<u>1,345,152</u>	<u>1,326,426</u>
Current Assets		
Inventories	32,639	53,785
Trade & Other Receivables	206,395	207,207
Short Term Deposits	480,951	186,253
Bank & Cash Balances	151,767	89,246
	<u>871,752</u>	<u>536,491</u>
Total Assets	<u>2,216,904</u>	<u>1,862,917</u>
EQUITY & LIABILITIES		
Share Capital & Reserves		
Share Capital	169,901	169,901
Capital Reserves	237,410	255,681
Revenue Reserves	1,143,518	939,843
Surplus for the 6 months	264,231	174,832
	<u>1,815,060</u>	<u>1,540,257</u>
Non Current Liabilities		
Deferred Income Taxes	209,880	226,922
Current Liabilities		
Trade & Other Payables	79,197	78,385
Unclaimed dividends	18,534	17,353
Taxation Payable	94,233	
	<u>191,964</u>	<u>95,738</u>
Total Equity & Liabilities	<u>2,216,904</u>	<u>1,862,917</u>

CARBACID INVESTMENTS LIMITED

**UNAUDITED CONSOLIDATED CASH FLOW STATEMENT
FOR SIX MONTHS ENDED 31ST JANUARY 2013**

	6 Months to 31 Jan 2013 (Unaudited) Shs '000	6 Months to 31 Jan 2012 (Unaudited) Shs '000
<u>OPERATING ACTIVITIES</u>		
Cash Generated from Operations	359,710	202,349
Interest Received	47,968	26,579
Taxation Paid	(87,192)	(1,465)
Net Cash Generated from Operating Activities	<u>320,486</u>	<u>227,463</u>
<u>INVESTING ACTIVITIES</u>		
Purchase of Plant & Equipment	(31,789)	(48,075)
Proceeds from Redemption of Corporate Bonds	15,625	
Purchase of Equity Investment	1,103	
Sale / (Purchase) of Commercial Paper	-	44,413
Dividends Received	4,763	1,241
Net Cash Used in Investing Activities	<u>(10,298)</u>	<u>(2,421)</u>
<u>FINANCING ACTIVITIES</u>		
Dividends Paid	<u>(101,940)</u>	<u>(101,940)</u>
INCREASE / (DECREASE) IN CASH & CASH EQUIVALENTS	<u>208,248</u>	<u>123,102</u>
CASH & CASH EQUIVALENTS AT THE START OF THE PERIOD	424,470	152,397
CASH & CASH EQUIVALENTS AT THE END OF THE PERIOD	<u><u>632,718</u></u>	<u><u>275,499</u></u>
Deposits	480,951	186,253
Cash & Bank	<u>151,767</u>	<u>89,246</u>
TOTAL	<u><u>632,718</u></u>	<u><u>275,499</u></u>

CARBACID INVESTMENTS LIMITED**UNAUDITED CONSOLIDATED STATEMENT OF CHANGES IN EQUITY
FOR SIX MONTHS ENDED 31ST JANUARY 2013**

	Share Capital <u>Shs '000</u>	Capital Reserves <u>Shs '000</u>	Revenue Reserves <u>Shs '000</u>	Total <u>Shs '000</u>
As at 31st July 2012	169,901	237,410	1,245,458	1,652,769
Net Profit for the period			264,231	264,231
Final Dividend Paid			(101,940)	(101,940)
As At 31st January 2013	<u>169,901</u>	<u>237,410</u>	<u>1,407,749</u>	<u>1,815,060</u>